SECURITIES AND EXCHANGE COMMISSION

17 CFR Parts 200, 201, 232, 240, 242, and 249

[Release No. 34-98845; File No. S7-14-22]

RIN 3235-AK93

Security-Based Swap Execution and Registration and Regulation of Security-Based Swap Execution Facilities

AGENCY: Securities and Exchange Commission.

ACTION: Final rule.

SUMMARY: The Securities and Exchange Commission ("SEC" or "Commission") is adopting a set of rules and forms under the Securities Exchange Act of 1934 ("SEA") that would create a regime for the registration and regulation of security-based swap execution facilities ("SBSEFs") and address other issues relating to security-based swap ("SBS") execution generally. One of the rules being adopted implements an element of the Dodd-Frank Act that is intended to mitigate conflicts of interest at SBSEFs and national securities exchanges that trade SBS ("SBS exchanges"). Other rules being adopted address the cross-border application of the SEA's trading venue registration requirements and the trade execution requirement for SBS. In addition, the Commission is amending an existing rule to exempt, from the SEA definition of "exchange," certain registered clearing agencies, as well as registered SBSEFs that provide a market place only for SBS. The Commission is also adopting a new rule that, while affirming that an SBSEF would be a broker under the SEA, exempts a registered SBSEF from certain broker requirements. Further, the Commission is adopting certain new rules and amendments to its Rules of Practice to allow persons who are aggrieved by certain actions by an SBSEF to apply for review by the Commission. Finally, the Commission is delegating new authority to the

Director of the Division of Trading and Markets and to the General Counsel to take actions necessary to carry out the rules being adopted.

DATES: *Effective date:* [INSERT DATE 60 DAYS AFTER THE DATE OF PUBLICATION IN THE *FEDERAL REGISTER*].

Compliance dates: See section XVI (Compliance Schedule).

FOR FURTHER INFORMATION CONTACT: Michael E. Coe, Assistant Director; David Liu, Special Counsel; Leah Mesfin, Special Counsel; Michou Nguyen, Special Counsel; or Geoffrey Pemble, Special Counsel, at (202) 551-5000, Office of Market Supervision, Division of Trading and Markets, Securities and Exchange Commission, 100 F Street NE, Washington, DC 20549.

SUPPLEMENTARY INFORMATION: The Commission is adopting new 17 CFR 242.800 through 242.835 ("Regulation SE") to create a regime for the registration and regulation of SBSEFs and to address other issues relating to SBS execution generally. Regulation SE consists of 17 CFR 242.800 through 242.835 (Rules 800 through 835). Key rules within Regulation SE include Rule 803, which establishes a process for SBSEF registration; Rules 804 to 810, which establish procedures for rule and product filings by SBSEFs; Rule 815, which establishes permissible execution methods for SBS that are subject to the SEA's trade execution requirement; Rule 816, which sets out a procedure for SBSEFs to make an SBS available to trade and establish certain exemptions from the trade execution requirement; Rules 818 to 831, which implement the 14 Core Principles for SBSEFs set forth in section 3D(d) of the SEA; Rules 832 to 833, which address cross-border matters; and Rule 834, which imposes requirements addressing conflicts of interest involving SBSEFs and SBS exchanges, as required by section 765 of the Dodd-Frank Act.

In addition to the rules described above, the Commission is also adopting 17 CFR 249.1701 (Form SBSEF), which is the form that an entity will use to register with the Commission as an SBSEF; 17 CFR 249.1702 (a submission cover sheet), which will be required to accompany filings with the Commission made by SBSEFs for rule and rule amendments and for product listings; adopting amendments to 17 CFR 232.405 (Rule 405 of Regulation S-T) to require various SBSEF filings to be provided in Inline eXtensible Business Reporting Language ("Inline XBRL"), a structured data language; adopting amendments to 17 CFR 240.3a1-1 (Rule 3a1-1) to exempt from the SEA definition of "exchange" certain registered clearing agencies, as well as registered SBSEFs that provide a market place only for SBS; adopting 17 CFR 240.15a-12 (Rule 15a-12), which, while affirming that an SBSEF would also be a broker under the SEA, exempts a registered SBSEF from certain broker requirements; providing for the sunset of existing temporary exemptions from the requirement to register as a clearing agency that, among other things, applies to an entity performing the functions of an SBSEF but that is not yet registered as such, and from the requirement to register as an SBSEF or a national securities exchange for entities that meet the statutory definition of SBSEF; adopting certain new rules and amendments to 17 CFR Part 201 (Rules of Practice) to allow persons who are aggrieved by certain actions by an SBSEF to apply for review by the Commission; and adopting amendments to 17 CFR 200.30-3 and 17 CFR 200.30-14 regarding delegations of authority to the Director of the Division of Trading and Markets and to the General Counsel.

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I. BACKGROUND

The Commission is adopting Regulation SE,[1] which governs the registration and regulation of SBSEFs, as required by section 3D of the SEA.[2] Section 3D was enacted as part of

[1] The Commission proposed Regulation SE on Apr. 6, 2022. *See* Rules Relating to Security-Based Swap Execution and Registration and Regulation of Security-Based Swap Execution Facilities (Proposed Rule), SEA Release No. 94615 (Apr. 6, 2022), 87 FR 28872 (May 11, 2022) ("Proposing Release").

[2] 15 U.S.C. 78c-4. In this release, the Commission is defining the Securities Exchange Act as the "SEA" to distinguish it from the Commodity Exchange Act ("CEA").

Title VII of the Dodd-Frank Wall Street Reform and Consumer Protection Act ("Dodd-Frank Act").[3] The Dodd-Frank Act was enacted, among other reasons, to promote the financial stability of the United States by improving accountability and transparency in the financial system.[4] The 2008 financial crisis highlighted significant issues in the over-the-counter ("OTC") derivatives markets, which experienced dramatic growth in the years leading up to the financial crisis and are capable of affecting significant sectors of the U.S. economy.

Section 3D(a)(1) of the SEA provides that no person may operate a facility for the trading or processing of SBS unless the facility is registered as an SBSEF or as a national securities exchange. Section 3D(d) enumerates 14 Core Principles with which SBSEFs must comply.[5] And section 3D(f) requires the Commission to prescribe rules governing the regulation of SBSEFs. In addition, section 765 of the Dodd-Frank Act directs the Commission to adopt rules to mitigate conflicts of interest with respect to clearing agencies that clear SBS ("SBS clearing agencies"), SBSEFs, and national securities exchanges that post or make available for trading SBS ("SBS exchanges").

On April 6, 2022, the Commission proposed Regulation SE, relating to the registration and regulation of SBSEFs and to SBS execution generally.[6] As discussed in the Proposing Release, the proposed rules superseded previous Commission proposals on these subjects.[7]

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3 Pub. L. No. 111-203, H.R. 4173, sec. 763(c).

4 *See* Pub. L. No. 111-203 Preamble.

5 *See infra* section VI (listing the Core Principles).

6 *See* Proposing Release, *supra* note 1. In 2011, the Commission published for comment proposed Regulation SBSEF relating to, among other things, the registration and regulation of SBSEFs. Registration and Regulation of Security-Based Swap Execution Facilities, SEA Release No. 63825 (Feb. 2, 2011), 76 FR 10948 (Feb. 28, 2011) ("2011 SBSEF Proposal"). The Proposing Release, which contains a more detailed discussion of that and related proposals, withdrew the 2011 SBSEF Proposal. *See* Proposing Release, 87 FR at 28874.

7 *See* Proposing Release, *supra* note 1, 87 FR at 28874. However, Rule 834 of proposed Regulation SE would implement section 765 only with respect to SBSEFs and SBS exchanges. *See infra* section VIII.

The SBS market is closely related to the swaps market, which is regulated by the Commodity Futures Trading Commission ("CFTC").[8] In June 2013, the CFTC adopted rules (in 17 CFR chapter I) under Title VII of the Dodd-Frank Act for swap execution facilities ("SEFs").[9] The swaps market has grown and matured within the framework established by the CFTC's rules.[10] As discussed in the Proposing Release, the SBS market is a small fraction of the overall swaps market, and the swaps market provides greater opportunities for revenue capture from swap execution as compared to SBS execution.[11] For example, as of November 25, 2022, the gross notional amount outstanding in the SBS market was approximately $8.5 trillion across the credit, equity, and interest rate asset classes,[12] while the gross notional amount outstanding in the swaps market was approximately $352 trillion across the interest rate, credit, and foreign-

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8 In adopting Regulation SE, the Commission has consulted and coordinated with the CFTC and the prudential regulators, in accordance with the consultation mandate of the Dodd-Frank Act. Section 712(a)(2) of the Dodd-Frank Act provides in relevant part that the Commission shall "consult and coordinate to the extent possible with the Commodity Futures Trading Commission and the prudential regulators for the purposes of assuring regulatory consistency and comparability, to the extent possible." In addition, section 752(a) of the Dodd-Frank Act provides in relevant part that "[i]n order to promote effective and consistent global regulation of swaps and security-based swaps, the Commodity Futures Trading Commission, the Securities and Exchange Commission, and the prudential regulators … as appropriate, shall consult and coordinate with foreign regulatory authorities on the establishment of consistent international standards with respect to the regulation (including fees) of swaps." The term "prudential regulator" is defined in section 1a(39) of the CEA, 7 U.S.C. 1a(39), and that definition is incorporated by reference in section 3(a)(74) of the SEA, 15 U.S.C. 78c(a)(74).

9 *See* CFTC, Core Principles and Other Requirements for Swap Execution Facilities, 78 FR 33476 (June 4, 2013) ("2013 CFTC Final SEF Rules Release"); CFTC, Process for a Designated Contract Market or Swap Execution Facility To Make a Swap Available to Trade, Swap Transaction Compliance and Implementation Schedule, and Trade Execution Requirement Under the Commodity Exchange Act, 78 FR 33606 (June 4, 2013) ("2013 CFTC Final MAT Rules Release").

10 In 2018, the CFTC proposed to make fundamental changes to the SEF regulatory structure. *See* CFTC, Swap Execution Facilities and Trade Execution Requirement, 83 FR 61946 (Nov. 30, 2018) ("2018 SEF Proposal"). In 2021, the CFTC ultimately declined to finalize the 2018 SEF Proposal and elected instead "to improve the SEF framework through targeted rulemakings that address distinct issues." Accordingly, the CFTC withdrew the unadopted portions of its 2018 proposal. *See* CFTC, Swap Execution Facilities and Trade Execution Requirement – Proposed rule; partial withdrawal, 86 FR 9304, 9304 (Feb. 12, 2021).

11 *See* Proposing Release, *supra* note 1, 87 FR at 28874–76.

12 *See* Report on Security-Based Swaps (Mar. 20, 2023), *available at* https://www.sec.gov/files/report-security-based-swaps-032023.pdf. *See also infra* note 815 and accompanying text (discussing security-based swap transactions data in the credit, equity, and interest rate derivatives asset classes reported by registered SBSDRs).